FINANCIAL REPORT / 01

Performance in perspective.

Microsoft | Five annual actuals and a three-year base forecast

USD billions	FY2022 A	FY2023 A	FY2024 A	FY2025 A	FY2026 A	FY2027F	FY2028F	FY2029F
Revenue	198.3	211.9	245.1	281.7	331.8	386.1	449.3	522.8
Operating profit	83.4	88.5	109.4	128.5	155.2	176.4	205.3	238.8
Net income	72.7	72.4	88.1	101.8	133.7	141.4	164.4	191.1
CFO	89.0	87.6	118.5	136.2	182.9	200.9	241.5	286.9
Cash capex	23.9	28.1	44.5	64.6	115.9	134.9	157.0	182.7
FCF	65.1	59.5	74.1	71.6	67.0	65.9	84.5	104.3
Cash	13.9	34.7	18.3	30.2	20.9	32.3	52.6	81.6

Cash is the management lens

FY2026 revenue was $331.8B, while cash capex was $115.9B and FCF was $67.0B. FY2029 base FCF is $104.3B. A = reported; F = modeled. FCF = CFO minus cash capex. Financing leases are separate.

Sources / original Microsoft 10-K filings and SEC companyfacts. All values USD billions. Fiscal year ends June 30.

DRIVER ANALYSIS / 02

Growth has a capital cost.

Ratio / year	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Gross margin	68.4%	68.9%	69.8%	68.8%	67.9%
Operating margin	42.1%	41.8%	44.6%	45.6%	46.8%
Cash capex / revenue	12.0%	13.3%	18.1%	22.9%	34.9%
CFO / revenue	44.9%	41.3%	48.4%	48.3%	55.1%
DSO (days)	81.5	83.9	84.8	90.6	89.0
DPO (days)	110.7	100.3	108.3	115.2	145.5

FY2027 local cash sensitivities

Driver shock	FCF change
+1 percentage point growth	$0.6B
+1 percentage point margin	$3.2B
+1 percentage point capex	$-3.9B
+1 collection day	$-1.1B

DSO = AR / revenue × 365; DPO = AP / COGS × 365. Annual balance proxies can be distorted by construction payables. Sensitivities vary one driver at a time from the base and are not causal estimates.

SCENARIOS / 03

A range, not a promise.

FY2029 forecast	Downside	Base	Upside
Revenue	$458.3B	$522.8B	$564.3B
Operating income	$195.6B	$238.8B	$269.1B
FCF	$75.4B	$104.3B	$129.7B
Cash	$39.7B	$81.6B	$127.9B
Long-term debt	$47.7B	$40.3B	$40.3B
Finance lease liability	$145.7B	$154.3B	$159.7B

Scenario design

Base: historical anchors held constant. Upside: +3 percentage points growth, +2 points operating margin, 3 fewer collection days, 2 points lower cash capex. Downside: 5 points lower growth, 3 points lower margin, 5 extra collection days, 2 points higher capex. The shock ranges are analyst judgments.

Liquidity rule

Minimum cash is $20.9B. Explicit new borrowing covers a shortfall. Interest uses opening long-term debt plus finance leases. Existing long-term principal is held fixed. Other assets, including marketable securities, are held fixed.

Two sensitivity grids

The Excel model and dashboard include FY2027 revenue growth × operating margin and DSO × capex matrices. The workbook also shows EBIT and net income in the growth × margin grid. The scenario controls recalculate the three statements.

ACCURACY & RISKS / 04

Show the error, too.

Metric / n = 4	MAE ($B)	MAPE	Bias ($B)	Baseline MAE ($B)
REVENUE	11.1	4.6%	-0.3	12.6
EBIT	9.8	8.0%	-7.1	9.4
FCF	12.0	18.4%	12.0	14.7

Backtest protocol

FY2022–25 filing-date origins; one-year FY2023–26 targets. Three-year ratio means, two-growth mean; metric-specific prior-year growth baseline. Original annual SEC facts; no later-restated comparators.

What failed

The model underperforms the baseline for EBIT. Every FCF prediction is above actual. A small retrospective sample cannot demonstrate robust forecasting skill. No parameter was optimized on the holdout errors during this implementation.

Assurance

48 core checks passed: accounting identities, cash-flow consistency, forecast linkage, scenario order and date controls. Separately, 165 original annual source facts reconcile. The workbook formula evaluator and stress tests add implementation assurance; none establishes that future assumptions will occur.

Limits

Annual aggregate scope; no FY2027 interim inputs, segment forecast, detailed asset-cohort schedule, maturity schedule, acquisitions, new operating leases or deferred-tax projection. Other assets and liabilities fixed. Forecasts are conditional educational analysis. Not investment advice.

Reviewer path / source manifest → raw original filings → assumptions → workbook formulas → backtest errors → memo. Native Power BI .pbix is not included; CSVs and import guidance are provided.